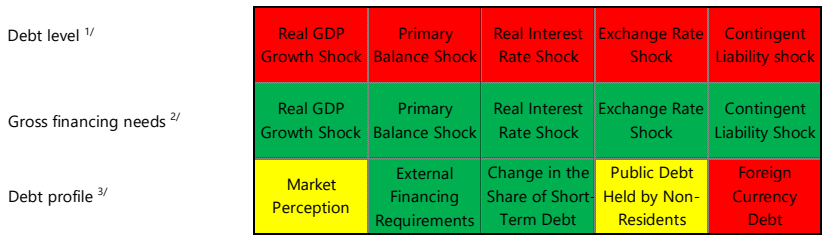
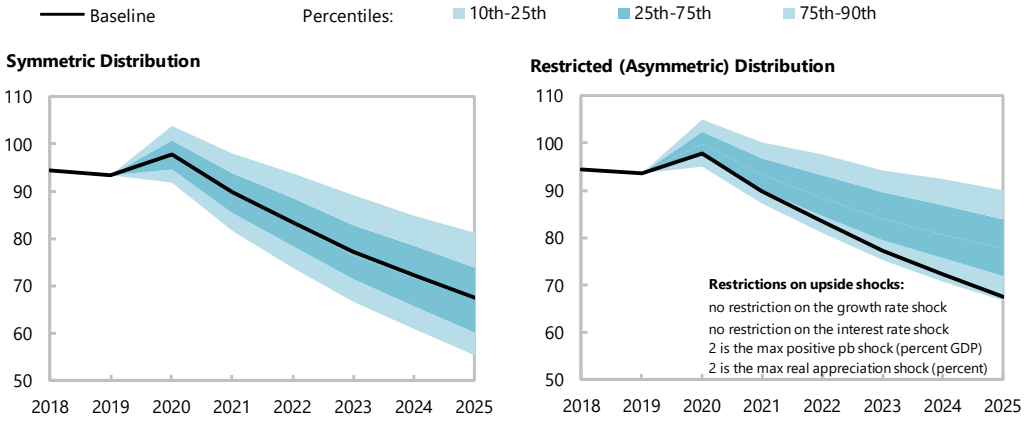
## Figure 1. Jamaica: Public DSA Risk Assessment

### Heat Map



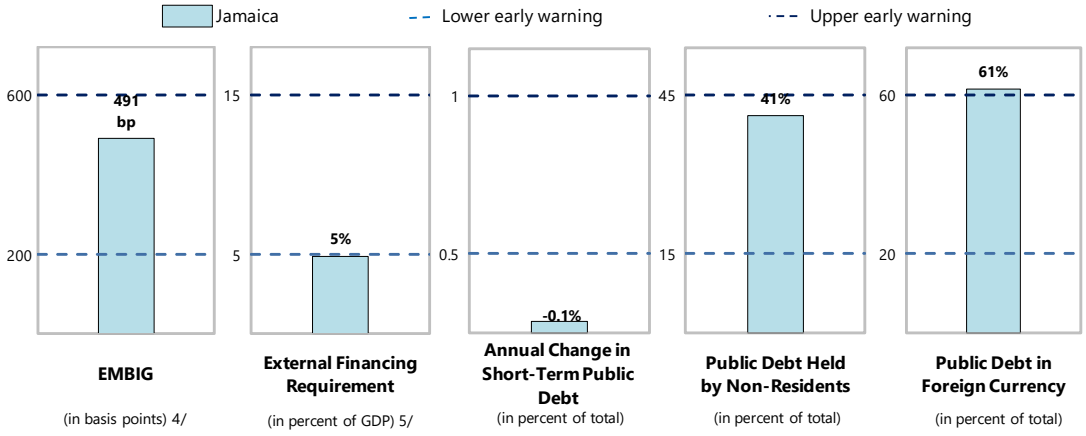

### Evolution of Predictive Densities of Gross Nominal Public Debt

(in percent of GDP)




### Debt Profile Vulnerabilities

(Indicators vis-à-vis risk assessment benchmarks, in 2019)




Source: IMF staff.

1/ The cell is highlighted in green if debt burden benchmark of 70% is not exceeded under the specific shock or baseline, yellow if exceeded under specific shock but not baseline, red if benchmark is exceeded under baseline, white if stress test is not relevant.

2/ The cell is highlighted in green if gross financing needs benchmark of 15% is not exceeded under the specific shock or baseline, yellow if exceeded under specific shock but not baseline, red if benchmark is exceeded under baseline, white if stress test is not relevant.

3/ The cell is highlighted in green if country value is less than the lower risk-assessment benchmark, red if country value exceeds the upper risk-assessment benchmark, yellow if country value is between the lower and upper risk-assessment benchmarks. If data are unavailable or indicator is not relevant, cell is white.
Lower and upper risk-assessment benchmarks are:

200 and 600 basis points for bond spreads; 5 and 15 percent of GDP for external financing requirement; 0.5 and 1 percent for change in the share of short-term debt; 15 and 45 percent for the public debt held by non-residents; and 20 and 60 percent for the share of foreign-currency denominated debt.

4/ EMBIG, an average over the last 3 months, 01-Feb-20 through 01-May-20.

5/ External financing requirement is defined as the sum of current account deficit, amortization of medium and long-term total external debt, and short-term total external debt at the end of previous period.



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## Figure 2. Jamaica: Public Sector Debt Sustainability (DSA)—Baseline Scenario

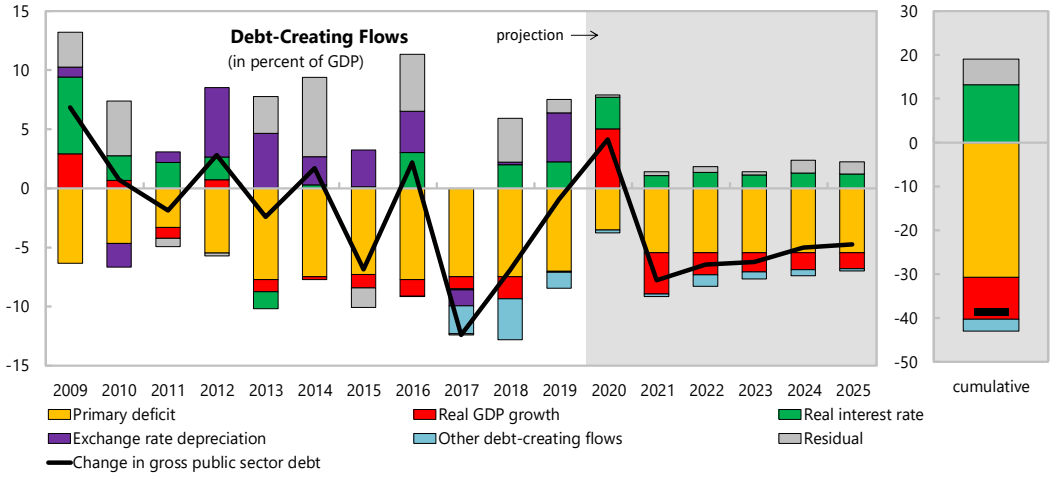
### Debt, Economic and Market Indicators [1/]

| | Actual | | | Projections | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| | 2009-2017 [2/] | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 |
| Nominal gross public debt | 114.7 | 94.4 | 93.5 | 97.6 | 89.9 | 83.4 | 77.2 | 72.2 | 67.4 |
| o/w: Net public bodies & Fund credit | 0.2 | 0.5 | 3.0 | 3.6 | 2.2 | 1.4 | 0.5 | 0.4 | 0.4 |
| Public gross financing needs | 12.9 | 5.3 | 11.8 | 11.5 | 7.4 | 5.6 | 6.6 | 5.9 | 8.0 |
| Real GDP growth (in percent) | 0.1 | 2.0 | 0.1 | -5.3 | 3.9 | 2.2 | 2.1 | 2.0 | 2.0 |
| Inflation (GDP deflator, in percent) | 7.3 | 4.5 | 4.7 | 4.4 | 5.3 | 5.0 | 5.0 | 5.0 | 5.0 |
| Nominal GDP growth (in percent) | 7.4 | 6.5 | 4.8 | -1.2 | 9.4 | 7.4 | 7.2 | 7.1 | 7.1 |
| Effective interest rate (in percent) [4/] | 8.8 | 6.7 | 6.8 | 7.0 | 6.7 | 6.7 | 6.5 | 6.9 | 6.9 |

| As of May 01, 2020 | | |
|---|---|---|
| Sovereign Spreads | | |
| EMBIG (bp) 3/ | | 627 |
| 5Y CDS (bp) | | n.a. |
| Ratings | Foreign | Local |
| Moody's | B2 | B2 |
| S&Ps | B+ | B+ |
| Fitch | B+ | B+ |

### Contribution to Changes in Public Debt

| | Actual | | | Projections | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2009-2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | cumulative | debt-stabilizing primary balance [10/] |
| Change in gross public sector debt | -1.0 | -6.9 | -0.9 | 4.1 | -7.7 | -6.4 | -6.2 | -5.0 | -4.7 | -26.0 | |
| Identified debt-creating flows | -3.2 | -10.6 | -2.1 | 3.9 | -8.1 | -6.9 | -6.5 | -6.1 | -5.8 | -29.4 | |
| Primary deficit | -6.4 | -7.5 | -7.0 | -3.5 | -5.4 | -5.4 | -5.4 | -5.4 | -5.4 | -30.7 | -0.3 |
| Primary (noninterest) revenue and grants | 27.1 | 30.6 | 30.2 | 27.3 | 28.2 | 28.6 | 28.6 | 28.5 | 28.4 | 169.5 | |
| Primary (noninterest) expenditure | 20.7 | 23.2 | 23.2 | 23.7 | 22.7 | 23.1 | 23.1 | 23.0 | 23.0 | 138.7 | |
| Automatic debt dynamics [5/] | 3.4 | 0.4 | 6.3 | 7.7 | -2.4 | -0.5 | -0.5 | -0.1 | -0.1 | 4.0 | |
| Interest rate/growth differential [6/] | 1.5 | 0.1 | 2.2 | 7.7 | -2.4 | -0.5 | -0.5 | -0.1 | -0.1 | 4.0 | |
| Of which: real interest rate | 1.6 | 2.0 | 2.2 | 2.7 | 1.1 | 1.3 | 1.1 | 1.3 | 1.2 | 8.8 | |
| Of which: real GDP growth | -0.2 | -1.9 | -0.1 | 5.0 | -3.5 | -1.9 | -1.6 | -1.4 | -1.3 | -4.7 | |
| Exchange rate depreciation [7/] | 2.0 | 0.2 | 4.1 | ... | ... | ... | ... | ... | ... | ... | |
| Other identified debt-creating flows | -0.3 | -3.5 | -1.4 | -0.2 | -0.2 | -1.0 | -0.6 | -0.5 | -0.2 | -2.7 | |
| Compensatory flows from PCDF 8/ | -0.3 | -2.2 | -2.2 | -0.2 | -0.2 | -1.0 | -0.6 | -0.5 | -0.2 | -2.7 | |
| Contingent liabilities | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | |
| Bank Recapitalization | 0.0 | -1.2 | 0.9 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | |
| Residual, including asset changes 9/ | 2.2 | 3.7 | 1.2 | 0.2 | 0.3 | 0.5 | 0.3 | 1.1 | 1.0 | 3.4 | |




Source: IMF staff.

1/ Public sector is defined as central government and includes public guarantees, defined as Outstanding amount of loans guaranteed by the central government and Fund credit outstanding (budget support only).

2/ Based on available data.

3/ EMBIG.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ The compensatory flows from Petrocaribe Development Fund (PCDF) arise from the estimated net revenue from PCDF assets that can be used by the government to repay debt.

9/ Includes changes in the stock of guarantees, asset changes, and interest revenues (if any). For projections, includes exchange rate changes during the projection period. For FY2020/21 includes asset sales as announced in GOJ's 2020/21 Budget .

10/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

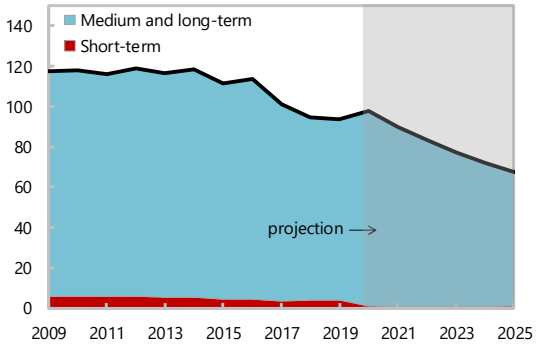


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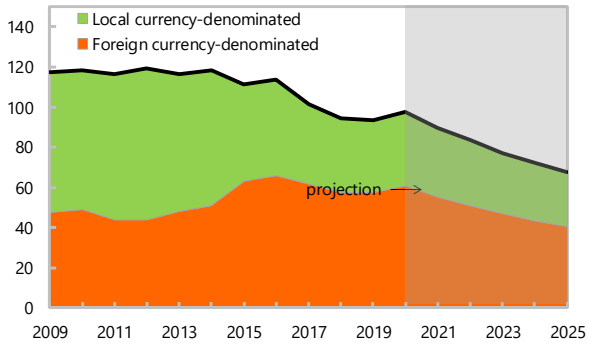
## Figure 3. Jamaica: Public DSA—Composition of Public Debt and Alternative Scenarios

### Composition of Public Debt

**By Maturity**
(in percent of GDP)



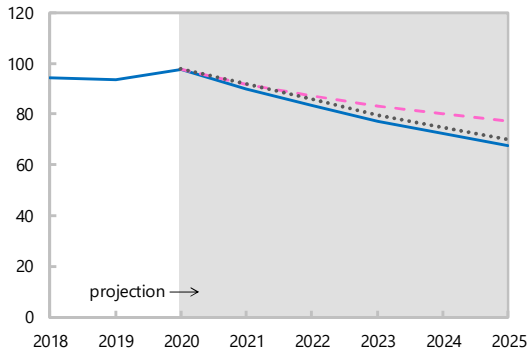

**By Currency**
(in percent of GDP)



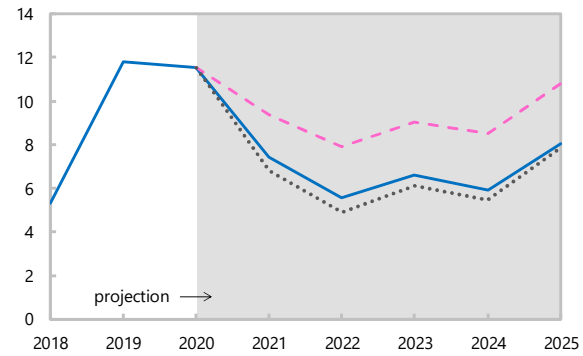

### Alternative Scenarios




**Gross Nominal Public Debt**
(in percent of GDP)




**Public Gross Financing Needs**
(in percent of GDP)




### Underlying Assumptions
(in percent)

| Baseline Scenario | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 |
|---|---|---|---|---|---|---|
| Real GDP growth | -5.3 | 3.9 | 2.2 | 2.1 | 2.0 | 2.0 |
| Inflation | 4.4 | 5.3 | 5.0 | 5.0 | 5.0 | 5.0 |
| Primary Balance | 3.5 | 5.4 | 5.4 | 5.4 | 5.4 | 5.4 |
| Effective interest rate | 7.0 | 6.7 | 6.7 | 6.5 | 6.9 | 6.9 |
| **Constant Primary Balance Scenario** | | | | | | |
| Real GDP growth | -5.3 | 3.9 | 2.2 | 2.1 | 2.0 | 2.0 |
| Inflation | 4.4 | 5.3 | 5.0 | 5.0 | 5.0 | 5.0 |
| Primary Balance | 3.5 | 3.5 | 3.5 | 3.5 | 3.5 | 3.5 |
| Effective interest rate | 7.0 | 6.8 | 6.8 | 6.5 | 6.9 | 6.8 |

| Historical Scenario | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 |
|---|---|---|---|---|---|---|
| Real GDP growth | -5.3 | 0.6 | 0.6 | 0.6 | 0.6 | 0.6 |
| Inflation | 4.4 | 5.3 | 5.0 | 5.0 | 5.0 | 5.0 |
| Primary Balance | 3.5 | 6.6 | 6.6 | 6.6 | 6.6 | 6.6 |
| Effective interest rate | 7.0 | 6.8 | 6.8 | 6.6 | 7.0 | 6.9 |

Source: IMF staff.



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